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Case Number: 26STCV09348 Hearing Date: July 16, 2026 Dept: 516

JUDGE JAMES I. MONTGOMERY

DEPARTMENT 516

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Hearing Date: July 16, 2026

Case Name: Chowdhury v. Guidehouse, Inc., et al.

Case No.: 26STCV09348

Matter: Motion to Compel Arbitration and Stay Proceedings

Moving Party: Defendant Guidehouse, Inc.

Responding Party: Plaintiff Ahnaf Faiyaz Chowdhury

Tentative Ruling: Defendant Guidehouse, Inc.'s motion is granted in part and denied in part.

Plaintiff Ahnaf Faiyaz Chowdhury ("Plaintiff") filed this action against Defendants Guidehouse, Inc. ("Guidehouse"), Chelsea Johnson ("Johnson"), Jeff Kimble ("Kimble"), Rob Hager ("Hager"), Collin Lopez ("Lopez"), and Does 1 though 100. The Complaint alleges eight causes of action for: (1) discrimination in violation of Fair Employment and Housing Act ("FEHA"); (2) hostile work environment harassment in violation of FEHA; (3) retaliation in violation of FEHA; (4) failure to provide reasonable accommodation in violation of FEHA; (5) failure to engage in the interactive process in violation of FEHA; (6) failure to prevent discrimination, harassment, and retaliation in violation of FEHA; (7) whistle-blower retaliation in violation of Labor Code section 1102.5; and (8) negligent hiring, supervision, and retention.

Guidehouse moves to compel arbitration of Plaintiff's claims pursuant to the arbitration agreement that Plaintiff signed when he began his employment. Guidehouse also moves to compel arbitration of Plaintiff's claims against Johnosn, Lopez, Kimble, Hager, Lopez (collectively "Individual Defendants"). Plaintiff opposes the motion.

Legal Standard

Under both the Federal Arbitration Act and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) Code of Civil Procedure section 1281.2 authorizes the court to order arbitration of a case if it finds the parties agreed to arbitrate that dispute, "and that a party to the agreement refuses to arbitrate that controversy." (Code Civ. Proc., § 1281.2, subd. (a).) Arbitration agreements should be liberally interpreted and ordered unless the agreement clearly does not apply to the dispute in question. (Weeks v. Crow (1980) 113 Cal.App.3d 350, 353; Segal v. Silberstein (2007) 156 Cal.App.4th 627, 633.)

The party moving to compel arbitration has the initial burden to (1) affirmatively admit and allege the existence of a written arbitration agreement, and (2) prove the existence of that agreement by a preponderance of the evidence. (Rosenthal v. Great W. Fin. Sec. Corp, 14 Cal. 4th 394, 413 (Rosenthal).) Once this is met, the burden shifts to the responding party to prove that the agreement is unenforceable by a preponderance of the evidence. (Ibid.)

"'Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute.'" (California Correctional Peace Officers Assn. v. State¿(2006) 142 Cal.App.4th 198, 205.)

Request for Judicial Notice

Guidehouse requests that the Court take judicial notice of two orders granting its motions to compel arbitration in Reinhardt v. Guidehouse Inc., et al., Civil Action No. 1:22-cv 01237-CKK, and League v. Guidehouse Inc., et al., Case No. CV 23-10151.

Thus, the Court grants Guidehouse's request for judicial notice pursuant to Evidence Code section 452, subdivision (d).

Analysis

Guidehouse moves to compel arbitration of Plaintiff's claims against it and its alleged employees. Guidehouse also moves to stay the matter pending arbitration.

Federal Arbitration Agreement

Guidehouse argues that the Federal Arbitration Act (FAA) governs the Arbitration Agreement ("Agreement"). The Court agrees. The Agreement expressly states,

This Agreement shall be governed by the FAA and, to the extent, if any, that the FAA is held not to apply, by the law of the State of Delaware, without regard to its conflict of laws principles (including for purposes of determining contract formation), unless otherwise required by the law of the state in which Employee primarily resides and works.

(Downes Decl, Ex. A. § 5.)

Thus, the FAA applies.

Existence of a Valid Agreement

Guidehouse seeks to compel arbitration based on a 2023 Agreement that Plaintiff accepted electronically during his onboarding. In support of the existence of the Agreement, Guidehouse submits as evidence the executed Agreement signed by Plaintiff on April 2, 2023, at 5:40:51 p.m. (Downes Decl, ¶ 9, Ex. B-C.) The Agreement provides that it "requires both Employee and the Company to resolve all Covered Claims (as described below) exclusively through final and binding arbitration." (Downes Decl, Ex. A. § (1)(a).) The Agreement further provides that all covered claims include:

Except as expressly set forth below, this Agreement shall apply to all disputes, controversies and claims relating to or arising out of Employee's employment agreement or termination of that agreement, or Employee's application for employment, offer of employment, prospective employment or employment with the Company, or Employee's separation from such employment (collectively, "Employment-Related Claims"), that the Company may have against Employee, or that Employee may have against the Company (and/or against any of the Company's partners, principals, officers, managers, directors, employees, or agents), including those based on acts or omissions occurring prior to, on or after the Effective Date, which could otherwise be resolved by a court or administrative agency ("Covered Claims"). Covered Claims include, without limitation, claims under the Fair Labor Standards Act, the Family and Medical Leave Act, the Equal Pay Act, the Americans with Disabilities Act, the Rehabilitation Act, the Age Discrimination in Employment Act, the Older Workers Benefit Protection Act, the Worker Adjustment and Retraining Notification Act, the Employee Retirement Income Security Act, state and local wage and hour laws, state and local laws concerning discrimination and retaliation, and any other federal, state and local laws regarding employment, and all amendments thereto, claims for breach of contract, claims for breach of post-employment restrictive covenants, claims for breach of fiduciary duty, claims for fraud or misappropriation, claims for misappropriation of trade secrets, and any other claims arising under any federal, state or local statute ordinance, regulation, public policy or common law.

(Downes Decl, Ex. A. § (1)(c)(emphasis added).)

At this point in the analysis to establish the existence of an agreement to arbitrate, it is sufficient for the defendants to provide a copy of the arbitration agreement or state the paragraph verbatim.¿(See Rosenthal, supra, 14 Cal. 4th at p. 413; Cal. Rules of Court, Rule 3.1330.) The court need not make an evidentiary determination of its validity at this stage. (Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.App.4th 836, 846 (Ruiz); Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1060 (Espejo) Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218–219 (Condee).) Defendant has met its burden.

Thus, an Agreement exists between the parties. The burden shifts to Plaintiff to prove the Agreement is unenforceable.

Authenticity of Plaintiff's Signature

Plaintiff argues that there is no valid agreement between the parties because "[Guidehouse] has not produced competent evidence—such as an audit trail, IP address log, unique login credentials, or screen-by-screen click path— demonstrating that Chowdhury personally reviewed and agreed to the arbitration agreement." (Opp., 1:14-16.) Plaintiff also contends that Guidehouse did not meet its burden of proof like in Ruiz, and the Agreement is unenforceable.

"Civil Code section 1633.9 addresses how a proponent of an electronic signature may authenticate the signature—that is, show the signature is, in fact, the signature of the person the proponent claims it is. The statute states: '(a) An electronic record or electronic signature is attributable to a person if it was the act of the person. The act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.'" (Civ. Code, § 1633.9, subd. (a).)

In Ruiz, the Court held that the employer did not authenticate the employee's signature on the following grounds:

[The business manager] did not explain that an electronic signature in the name of “Ernesto Zamora Ruiz” could only have been placed on the 2011 agreement (i.e., on the employee acknowledgement form) by a person using Ruiz's “unique login ID and password”; that the date and time printed next to the electronic signature indicated the date and time the electronic signature was made; that all . . . employees were required to use their unique login ID and password when they logged into the HR system and signed electronic forms and agreements; and the electronic signature on the 2011 agreement was, therefore, apparently made by Ruiz on September 21, 2011, at 11:47 a.m. Rather than offer this or any other explanation of how she inferred the electronic signature on the 2011 agreement was the act of Ruiz, [the business manager] only offered her unsupported assertion that Ruiz was the person who electronically signed the 2011 agreement. In the face of Ruiz's failure to recall electronically signing the 2011 agreement, the fact the 2011 agreement had an electronic signature on it in the name of Ruiz, and a date and time stamp for the signature, was insufficient to support a finding that the electronic signature was, in fact, “the act of” Ruiz. (Civ. Code, § 1633.9, subd. (a).) For the same reason, the evidence was insufficient to support a finding that the electronic signature was what [employer] claimed it was: the electronic signature of Ruiz. (Evid. Code, § 1400, item (a).)

(Ruiz, supra, 232 Cal.App.4th at p. 844.)

While in Espejo, the employer’s systems consultant detailed the employer’s security precautions regarding the transmission and use of an applicant’s unique username and password and the steps an applicant takes to sign the document. Based on those procedures, she concluded that the employee signed the arbitration agreement. (Espejo, supra, 246 Cal.App.4th at p. 1062.)

First, Plaintiff’s challenge to the authenticity of the agreement is its reliance on Ruiz, Zamundio, and Smith. (Opp., 6:20-7:2.) Plaintiff also does not deny signing the Agreement, only that he does not recall signing it. (Chowdhury Decl., ¶¶ 4, 6, 9.) Plaintiff does not provide any legal authority to support that this challenge meets his burden of proof to hold that the Agreement is unenforceable. But even if it were enough, the Court finds that Guidehouse met its burden. As explained in Espejo, defendant is “not required to introduce such evidence until the authenticity of the document was challenged.” (Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1056.)

Espejo is on point with the facts of this case. Jen Downes (“Downes”) is the Associate Director of Talent Acquisition Operations Lead at Guidehouse. (Downes Decl., ¶ 1.) Downes also declared that she is familiar with “Guidehouse’s employment and onboarding records, including offer letters, arbitration agreements, confidentiality agreements, personnel records, and electronically stored acknowledgments.” (Id. at ¶ 2.) Downes also states that Guidehouse uses the Workday platform to access offer letters and onboarding documents for candidates and to record candidates' acknowledgments of those documents. (Id. at ¶ 4.) Downes also declares that each candidate has an individual Workday profile to access the materials associated with their credentials. (Ibid.) Moreover, Downes declares that the Agreement was a condition of employment, and by reviewing Guidehouse’s records, Plaintiff accepted Guidehouse’s offer of employment and commenced his employment at the entity. (Dowes Decl., ¶10.) In Reply, Guidehouse attached Plaintiff’s Full Process Record that maintains Plaintiff’s Workday Profile. (Gigliotti Decl., Ex. A.)

The Court finds that Guidehouse’s declaration is more akin to Espejo and not conclusory like in Ruiz.

Additionally, Plaintiff cites two district cases to argue that authentication is improper; however, these cases are from the United States District Court for the Eastern District of California, which are not binding authority on this Court. (Zamudio v. Aerotek, Inc. (E.D. Cal. 2023) 698 F.Supp.3d 1202; Smith v. Rent A Ctr., Inc. (E.D.Cal. Jan. 25, 2019, No. 1:18-cv-01351 - LJO - JLT) 2019 U.S.Dist.LEXIS 12629.)

Thus, Guidehouse properly authenticated Plaintiff’s signature.

Unconscionability

Plaintiff claims that the arbitration agreement is procedurally and substantively unconscionable.

“‘[U]nconscionability has both a 'procedural' and a 'substantive' element,” the former focusing on “'oppression'” or “'surprise'” due to unequal bargaining power, the latter on “'overly harsh'” or “'one-sided'’ results. [Citation.] “The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” [Citation.] But they need not be present in the same degree. “Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.” [Citation.] In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114.)

Procedural

“‘The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power.’” (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 125 (OTO).) ““‘“Procedural unconscionability” concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. [Citation.] It focuses on factors of oppression and surprise. [Citation.] The oppression component arises from an inequality of bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party.’ [Citation.]”” (Parada v. Superior Court (2009) 176 Cal.App.4th 1554, 1570.) “[A] finding of a contract of adhesion is essentially a finding of procedural unconscionability.” (Bakersfield College v. California Community College Athletic Assn. (2019) 41 Cal.App.5th 753, 761.)

Plaintiff argues that the Agreement is procedurally unconscionable because Plaintiff is not given any opportunity to negotiate the Agreement, and the Agreement is oppressive because it was presented on a take it or leave it basis. In reply, Guidehouse argues that there was no meaningful surprise in the execution of the Agreement; however, this argument does not address Plaintiff’s argument.

Thus, Plaintiff has established that the Agreement was minimally procedurally unconscionable.

Substantive

“Substantive unconscionability examines the fairness of a contract's terms. This analysis “ensures that contracts, particularly contracts of adhesion, do not impose terms that have been variously described as ‘“‘overly harsh’”’ ([Citation.]), ‘ “unduly oppressive” ’ ([Citation.]) ‘“so one-sided as to ‘shock the conscience’”’ ([Citation.]), or ‘unfairly one-sided’ ([Citation.]), All of these formulations point to the central idea that the unconscionability doctrine is concerned not with ‘a simple old-fashioned bad bargain’ [citation], but with terms that are ‘unreasonably favorable to the more powerful party.’”” (OTO, supra, 8 Cal.5th 111, at p. 129–130 (citations omitted).)

Plaintiff argues that the Agreement is like the arbitration agreement in Cook. In Cook, the Court held that USC’s arbitration agreement was unconscionable because it was broad and would deprive employees of the right to sue USC for claims beyond termination. (Cook v. University of Southern California (2024) 102 Cal.App.5th 312, 325.) The arbitration agreement survived indefinitely after termination and could be revoked only by the USC President’s signature. (Id. at p. 325-26.) Lastly, the terms of the agreement were not mutual because USC’s actions against the employee did not have to be initiated in arbitration. (Id. at 326.)

The Court is not persuaded by Plaintiff’s arguments that the Agreement is like the one in Cook. The Agreement states that “any dispute” initiated by either party must be arbitrated. Thus, the Agreement is not one-sided. Both parties waive their right to a jury trial, and is limited to claims relating to or arising out of Plaintiff’s “employment agreement, termination of that agreement, application, offer, prospective employment, employment, or separation from employment.” (Downes Decl. Ex. A § 1(c).)

Plaintiff also argues that the Agreement lacks mutuality because whether a party seeks injunctive relief from the Court would likely only benefit Guidehouse and not Plaintiff. However, the Court in Baltazar, held that, regardless of whether the employer "is, practically speaking, more likely to seek provisional remedies than its employees, simply reciting the parties' rights under section 1281.8 does not place [plaintiff] at an unfair disadvantage." (Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1248.) Thus, this argument does not support Plaintiff's position.

Plaintiff also argues that the claims against Individual Defendants are not arbitrable because they are not parties to the Agreement. Plaintiff argues that even though the claims against the parties are based on the same set of operative facts, the claims against the individual Defendants are based on his FEHA harassment and intentional infliction of emotional distress. (Opp., 11:19-21.) Plaintiff cites Gastelum to argue that the claims against Individual Defendants may proceed after arbitration.

In reply, Guidehouse argues that Gastelum, is inapplicable because the case involved lifting a stay after arbitration was dismissed. (Gastelum v. Remax Internat., Inc. (2016) 244 Cal.App.4th 1016, 1020.) The Court agrees that Gastelum does not support Plaintiff's argument. Guidehouse also argues that pursuant to Dryer, the claims against individual Defendants are subject to arbitration. In Dryer, the court looked to the complaint to determine in what capacity the individual defendants were being sued. (Dryer v. Los Angeles Rams (1985) 40 Cal.3d 406, 417.) Here, Individual Defendants are being sued as "agent[s]," and Plaintiff alleges that at all "relevant times, there existed a unity of ownership and interest between or among two or more defendants. . ." (Compl., ¶ 4, 7.) Moreover, the Agreement includes Plaintiff's claims against the "[e]mployee may have against the Company (and/or against any of the Company's partners, principals, officers, managers, directors, employees, or agents)." (Downes Decl, Ex. A. § (1)(c).) Thus, the provision is not substantively unconscionable because it requires Plaintiff to arbitrate his claims against individual Defendants. Also, the provision is applicable to Plaintiff's claims.

Finally, Plaintiff also argues that the confidentiality provision disproportionately favors Defendants. Plaintiff cites Hasty to argue that the confidentiality provision renders the Agreement substantively unconscionable.

"Our Supreme Court has held a confidentiality provision in an arbitration agreement is not per se unconscionable when it is based on a legitimate commercial need (such as to protect trade secrets or proprietary information). ([Citation.])" (Hasty v. American Automobile Assn. etc. (2023) 98 Cal.App.5th 1041, 1061–1062 (citation omitted) (Hasty).) In Hasty, the Court determined that the entity has not identified "commercial need for requiring employment-related proceedings to remain confidential." (Id. at p. 1062.) Here, Guidehouse provides no legitimate commercial need to maintain the proceedings confidential, thus the provision is substantively unconscionable.

Guidehouse argues that the Court should sever the confidentiality provision if it finds the provision unconscionable. The Agreement states

that "[i]n the event that any provision of this Agreement is determined to be invalid or unenforceable, it shall be severed from the Agreement, and the rest of the Agreement shall be enforced to the maximum extent permitted by law. . ." (Downes Decl. Ex. A § 7.)

Civil Code section 1670.5, subdivision (a) provides that "[i]f the court as a matter of law finds [a] contract or any clause of the contract to have been unconscionable at the time it was made[,] the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result." (Civ. Code, § 1670.5, subd. (a).) Civil Code section 1670.5, subdivision (a) grants the Court discretion to "refuse to enforce the contract as a whole if it is permeated by the unconscionability, or it may strike any single clause or group of clauses which are so tainted or which are contrary to the essential purpose of the agreement, or it may simply limit unconscionable clauses so as to avoid unconscionable results."(Armendariz, supra, 24 Cal.4th at p. 122; Hasty, supra, 98 Cal.App.5th at p. 1064.)

In opposition, the Plaintiff argues that the provision is not severable because the entire Agreement is unconscionable, and that it should not be enforced. However, as addressed above, the Court does not find that the entire Agreement is permeated by unconscionability that would warrant denial of enforcement of the Agreement. Thus, severance is warranted to strike the confidentiality provision.

Therefore, the Agreement is not substantively unconscionable. The confidentiality provision is severed from the Agreement. Because there is no high degree of substantive unconscionability, the Agreement is not unconscionable.

Stay of Proceedings

Code of Civil Procedure section 1281.4 provides that if the court has ordered the arbitration of a controversy, it “shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.”¿ (Code Civ. Proc., § 1281.4.)

¿

Thus, the court stays this action pending the conclusion of the arbitration proceedings.¿¿

Conclusion

Defendant’s motion to compel arbitration is granted. The confidentiality provision is severed from the Agreement. The Court stays this action pending the conclusion of the arbitration process.